



SMALL BUSINESS MANAGEMENT TEAM (510)

STATE – 2019

PRELIMINARY

TOTAL POINTS _____ (170)

Judges: Please double check and verify all scores and answer keys!

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Workplace Skills Assessment Program competition.



Description

The team will use strategic planning and problem-solving skills to provide solutions to the business case study provided. At state and national level, teams will be presented with an additional element to the scenario that requires revision of their final presentation.

Modification at State Preliminary Competition:

Mr. Anderson has been reading forum where small business owners brainstorm ideas to help solve problems. He read one post that talked about a new online payment provider that only charges about half of what the normal rate for transactions are. An average charge is 5% per transaction; this provider charges 2.5%. He also read some replies to the post that questioned the security of the provider. Should Mr. Anderson consider going back to using an online shopping method with this new provider?

Initial Case Study

You have been contacted by Mr. Steve Anderson, small business owner, to help him find some creative solutions to the problems he is facing in his business. Mr. Anderson owns a small retail business (Anderson's Retail) that sells items from toys to clothes to office supplies to hardware. His business is located in three small towns throughout the state. His business is well-received by the communities where they are located, but since retailers like Walmart and Amazon have become popular he has seen a significant drop in his profits.

The company runs under the same name, but each store acts independently of the other. Merchandise is ordered from the supplier separately by all three locations, based on need. Each store has different rules and policies. Each store has a manager who decided when to run sales and clearances when they feel the store could benefit. Mr. Anderson does visit each location at least weekly to check to see how things are being run and help where needed.

Mr. Anderson has had to increase prices due to the lack of profit. He has also had to cut back on employees and charitable donations to schools and community fundraisers. Mr. Anderson even tried to sell product online and ship products to customer homes, but he found that the online sales cost him more money because his online payment provider charges him and packaging his product cost him too much money (i.e. cardboard boxes, packaging material, etc.).

Mr. Anderson feels like he has tried everything possible and is becoming disheartened thinking his business is going to fail. What do you suggest Mr. Anderson do to help his struggling business become profitable again? Consider the following in your presentation.

1. Should Mr. Anderson close a location or even all three stores?
2. What can be done to generate new revenue streams or cut current costs?
3. Is there another model or type of business Mr. Anderson should consider that would not be costly to enter with his current assets?
4. The business locations are all in small towns. What can he do get the community members to want to support his business?
5. Should he relocate his business?

Teams who do *not* submit an entry that follows this topic will be *disqualified*.



JUDGING PROCEDURE

- Teams will be introduced by team number. **However, contestants may continue to wear their name badges and refer to each other by name.**
- As a team of judges, formulate two to three questions to ask at the conclusion of the presentation. Be sure to ask the same questions of each team.
- Teams will present before a panel of judges and timekeeper.
- All team members must participate.
- The length of set-up will be no more than three (3) minutes.
- The length of the presentation will be no more than ten (10) minutes; followed by judges' questions not to exceed ten (10) minutes.
- Excuse teams upon completion of judges' questions.
- **There can be no ties in the top ten (10) teams.** It is the responsibility of the judges to break any ties.
- Administrator will fill out ranking sheet prior to dismissing the judges.
- If more than one (1) section is necessary, finalists will be determined by selecting an equal number from each section.
- Give administrator all Judges' Rating Sheets, Judge Evaluation Sheets, and contest materials.
- No audience will be allowed.

Please double-check and verify all scores!